Table 2. China's and Hong Kong's holding of US Treasury Securities before and after the crisis outbreak (billion dollars)

	China	Hong Kong	China & HK as share of total foreign holding	China & HK as share of total outstanding	Fed holding as share of total outstanding
End of Sept 2008	618.2	65.5	24.5%	11.8%	8.3%
End of Feb 2013	1 222.9	143.2	24.1%	12.0%	15.5%

Source: US Treasury, Major Foreign Holders of U.S. Treasury Securities database

point where raw materials, machines and components from Asia and other developing countries are put together into finished consumer goods to be exported to the US and Europe. While China's overall trade surplus has been mounting, it has been running a rising trade deficit with the whole world if we take out the US and Europe. This means that the growth in value of China's exports to Asia, Latin America and Africa has not caught up with the growth of China's imports of manufactured components, machineries, and raw materials from them. The US and Europe are the two sole sources of China's trade surplus. China's exports to the US, needless to say, are settled in US dollars. Even China's exports to Europe are settled in US dollars instead of euros. As long as China's rising trade surplus comes mostly in dollars, the Chinese central bank has few choices other than investing these dollars into the most liquid and relatively safe dollar-denominated asset, that is, US Treasury bonds.

Recently, there have been a lot of reports about China's activities in using its foreign exchange reserves for 'buying the world' through outward foreign direct investment. Chinese companies' acquisition of Volvo Cars from Ford Motor and Chinese SOEs' inroad into mining and energy sectors in other developing and developed countries from Zambia to Canada attract a lot of media attention. But despite these high-profile cases, China's outward foreign direct investment is so far of negligible aggregate size, in comparison with other major sources of FDI in the world. The Chinese official statistics show that the stock of China's non-financial outward FDI by the end of 2010 amounted to US$298 billion (US$317 billion if financial investment is included). This amount is even smaller than the outward FDI from Singapore, a city-state with a much smaller economy than that of China. China's outward FDI looks even more insignificant if we take into consideration that 63% of that amount was actually FDIs that land in Hong Kong.